

Strong order book and non-defence to drive growth**Order inflow guidance at Rs150-170bn:**

Management has given strong order inflow guidance of Rs15000–17000cr for FY22E. YTD FY22E order inflows is at Rs5300cr. BEL's long-term average market share in defence capex at 13.6% (order intake) reflects its dominant position. At the end of Q2FY22, BEL's order book stood at Rs 546bn (3.9x FY21 sales). Export revenues stand at US\$52mn in FY21 and are expected to grow 15–17% for FY22E.

Non-defence contribution to go up:

BEL's non-defence revenue contribution is expected to increase from ~10% to 20–25% over the next two to three years. Non-defence contributes ~10% of order book and ~7% of revenues as of now. On non-defence side, foray into Metro (communication based doors, auto fair collection system, traffic control system), healthcare (ventilators, oxygen concentrators, dialysis machines), EVM/VVPAT machines, electric chargers, homeland security, smart cities, Li-ion battery packs, energy storage, green hydrogen, civil aviation, etc is likely to drive growth.

Planned capex of Rs1800cr:

BEL has planned capex of Rs1800 crore over the next three years towards manufacturing needs and R&D including first phase of defence system integration complex, AP (Rs400 crore), land based EWS plant (Rs200 crore), artillery fuses manufacturing facility at Nagpur (Rs200 crore), Machilipatnam plant for IR seekers, night vision devices and electro-optics (Rs300 crore).

Margins to stabilize at 21%:

Going ahead, a further pick-up in execution and a favourable product mix, diversification to ensure base EBITDA margins at ~21–22% range. Focus is on retaining only R&D and IT part and outsourcing other requirement to reduce manpower cost from ~14% to 12–13% over two to three years. Approximately 80% sales revenue coming from indigenous R&D. Software as a service (SaaS) vertical of BEL is gaining significant traction.

Valuation & Outlook:

BEL's growth over the past decade has closely tracked domestic defence spending, which is likely to change. On returns/cash flow, we see significant potential vis-à-vis peers (both global/local) given BEL's rising capability and demand dynamics across the defence and non-defence verticals. We expect **revenues of BEL to grow at a CAGR of 14% over FY21-23E**. As margin is likely to remain stable **bottomline is expected to grow at a CAGR of 15% over the same period**. We expect BEL to post EPS of Rs10 and Rs12.3 over FY22E and FY23E respectively. At CMP the **stock trades at 21x FY22E and 17x FY23E earnings**. We recommend 'BUY'.

Financial Summary :

(Rs in crores)	FY 17	FY 18	FY 19	FY 20	FY 21
Revenue	8,612	10,322	12,085	12,921	14,064
EBITDA	1,762	2,000	2,862	2,730	3,181
EBITDA margin (%)	20.5	19.4	23.7	21.1	22.6
Net profit	1,548	1,399	1,927	1,794	2,065
EPS	6.9	5.7	7.9	7.4	8.5
ROCE (%)	27.1	25	30	25.1	27.2
ROE (%)	20.6	18	21.4	18.2	19.1

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